

Drawdown & Psychology Rules

Purpose

Protect capital, discipline, and decision quality during losing periods. This document overrides **all other documents** when drawdown or emotional instability is present.

This is your **fail-safe system**.

CORE PRINCIPLE

Your first job is survival. Your second job is consistency. Profit comes last.

Most accounts are not blown up by bad strategies — they are blown up by bad reactions to losses.

PART 1 — DEFINING NORMAL vs DANGEROUS DRAWDOWN

Normal Drawdown (Expected)

- 1–3 consecutive losses
- Drawdown $\leq$ 6% from equity high
- Losses followed rules

Action: **Continue trading normally**

Dangerous Drawdown (Intervention Required)

Triggered if **ANY** occur: - 3 consecutive losses - 6% drawdown from equity high - 2 rule violations in one week - Emotional urge to “make it back”

Action: **Immediately enter Capital Preservation Mode**

PART 2 — CAPITAL PRESERVATION MODE (MANDATORY)

When triggered:

- Risk per trade reduced to **0.5%**
- Trade **Wave 3 + Last Kiss only**
- Max **1 open trade** at a time
- No A+ risk escalation allowed
- No countertrend or aggressive entries

Remain in this mode until: - 10 trades executed - Rule compliance = 100% - Emotional neutrality restored

PART 3 — HARD STOP CONDITIONS (NO EXCEPTIONS)

Trading stops immediately if: - 10% drawdown from equity high - 4 consecutive losses - You feel anger, fear, or revenge impulses - You break a core rule deliberately

Action: - Stop trading for **minimum 48 hours** - Review journal only — no charts

This pause prevents catastrophic decisions.

PART 4 — EMOTIONAL STATE CHECK (DAILY)

Before each session, answer honestly:

- ☐ I am calm and patient
- ☐ I am not trying to recover losses
- ☐ I accept that today may have no trades
- ☐ I will follow the checklist exactly

If any answer is **NO** → do not trade

PART 5 — LOSS PROCESSING RULE (CRITICAL)

After a losing trade:

1. Walk away from charts for 10 minutes
2. Log the trade immediately
3. Label the loss:
4. Rule-followed loss (good loss)
5. Rule-broken loss (dangerous loss)

Only **rule-broken losses** require behavioral correction.

PART 6 — LOSING STREAK MANAGEMENT

After 2 Losses in a Row

- Reduce trade frequency
- Re-check structure quality
- No setup downgrades

After 3 Losses in a Row

- Capital Preservation Mode
- Re-read Execution Checklist before every trade

After 4 Losses in a Row

- Mandatory trading stop (48+ hours)

Losses are data, not signals to push harder.

PART 7 — JOURNAL REVIEW PROTOCOL

Weekly review questions:

- Did losses come from valid setups?
- Did I enter early or late?
- Did I violate risk rules?
- Did I trade during emotional pressure?

Patterns matter more than outcomes.

PART 8 — PSYCHOLOGICAL NON-NEGOTIABLES

Never: - Increase risk after a loss - Take “just one more” trade - Skip the checklist - Trade to feel productive

Always: - Accept randomness - Respect drawdown limits - Trust the process

FINAL RULE (READ THIS DURING LOSSES)

A trader who survives drawdowns long enough will eventually benefit from edge. A trader who doesn't, never will.

Discipline during losses is what qualifies you to trade larger capital later.